

SENATE BILL 286

By Bailey

AN ACT to amend Tennessee Code Annotated, Title 56,
Chapter 26, relative to multiple employer welfare
arrangements.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 56-26-204(a), is amended by adding
the following as a new subdivision:

(5)

(A) As used in this subdivision (a)(5):

(i) "Bank":

(a) Means an entity chartered pursuant to the laws of this
state, the laws of a contiguous state, or the laws of the United
States, or in the process of organizing to seek a charter, and
authorized, or to be authorized, to conduct business as a savings
and loan, savings bank, trust company, commercial bank, or other
institution, and which is a member or affiliate member of a trade or
professional organization organized to provide advocacy,
leadership, and support for these entities; provided, that the
entity's participation is authorized under Internal Revenue Code §
501(c)(9) (26 U.S.C. § 501(c)(9)); and

(b) Includes the entity's parent, affiliate, or subsidiary,
which is under common control within the meaning of Internal
Revenue Code § 414 (26 U.S.C. § 414);

(ii) "Commissioner" means the commissioner of commerce and insurance;

(iii) "Multiple employer welfare arrangement" has the same meaning as defined in 29 U.S.C. § 1002(40); and

(iv) "Plan-sponsoring organization" means an association that:

(a) Sponsors a multiple employer welfare arrangement comprised only of banks;

(b) Has been actively in existence for at least five (5) years;

(c) Has at least one (1) substantial business purpose unrelated to offering and providing health insurance coverage or other employee benefits to its employer members and their employees; provided, that offering and providing such coverage or benefits may serve as the association's primary purpose;

(d) Does not condition membership in the association on any health status-related factor relating to an individual, including an employee of an employer or a dependent of an employee;

(e) Makes health insurance coverage offered through the association available to all members regardless of any health status-related factor relating to the members or individuals eligible for coverage through a member; and

(f) Does not make health insurance coverage offered through the association available other than in connection with a member of the association.

(B) A foreign multiple employer welfare arrangement is deemed a domestic multiple employer welfare arrangement if the foreign multiple employer welfare arrangement:

(i) Is comprised only of banks together with their plan-sponsoring organization, and their respective employees;

(ii) Is duly licensed as a multiple employer welfare arrangement by the regulatory agency having jurisdiction over the regulation of insurance in a state physically contiguous to this state;

(iii) Has no more than two thousand five hundred (2,500) residents of this state who are employees of its member banks enrolled in or receiving health, sickness, and accident benefits as insureds, members, enrollees, or subscribers of the multiple employer welfare arrangement;

(iv) Is subject to adequate regulatory oversight by the contiguous domiciliary state, including, but not limited to, solvency examination authority and actuarially sound reserve-adequacy requirements, as determined in the commissioner's sole discretion; and

(v) Applies for and receives a certificate of authority from the commissioner to operate as a foreign multiple employer welfare arrangement.

(C) The commissioner may, in the commissioner's sole discretion, waive any portion of this chapter, and any portion of chapter 7 of this title, for a qualifying multiple employer welfare arrangement upon a determination that the multiple employer welfare arrangement is subject to reasonable and adequate

oversight by the regulatory agency having jurisdiction over the regulation of insurance in the multiple employer welfare arrangement's domicile.

SECTION 2. Tennessee Code Annotated, Section 56-26-204, is amended by deleting subsections (b) and (c) and substituting:

(b) The commissioner may promulgate rules in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, as deemed necessary to provide for the solvency, administration, examination, and enforcement of the pooling agreements. However, the rules must not prohibit or deter any association lawfully formed under the laws of this state or another state from offering health insurance coverage to its members within this state, including through a multiple employer welfare arrangement, if the health insurance coverage complies with federal law. To the extent deemed necessary by the commissioner, each employer member of the approved group must be classified as a self-insurer as otherwise provided in this chapter.

(c) A pool created or deemed domestic under this section is subject to taxation under chapter 4 of this title, filing and approval under this chapter, and laws for protection of policyholders under chapter 7 of this title.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.